

THE OECD TAX-BENEFIT DATABASE

Description of policy rules for
Austria 2021



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Description of policy rules for 2021

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Preface

This report provides a detailed description of the tax and benefit rules in Austria as they apply to working-age individuals and their dependent children. It also includes output from the [OECD Tax-Benefit model \(TaxBEN\)](#), which puts all these complex legal rules into a unified methodological framework that enables international comparisons of how tax liabilities and benefit entitlements affect the net disposable income of families in different labour market circumstances, .e.g. in employment versus unemployment.

The **main body** of the report describes the rules that are relevant for the family and labour market characteristics that are within the scope of the **TaxBEN** model (see below for the methodology and user guide). The **annex** provides information on other cash benefits and taxes on employment income that are relevant for other groups of the working-age population, but are outside the scope of the **TaxBEN** model.

TaxBEN is essentially a large cross-country calculator of tax liabilities and benefit entitlements for a broad set of *hypothetical* families (“vignettes”), e.g. a married couple of 40-years-old adults with two children aged 4 and 6 (click [here](#) for a quick overview of the **TaxBEN** model). **TaxBEN** incorporates rules on the main taxes on employment income, social contributions paid by employees and employers, as well as the main cash and near-cash benefit programmes, including unemployment benefits, family and childcare benefits, guaranteed minimum-income benefits, cash housing benefits, and employment-conditional benefits. Disability benefits, maternity and parental leaves benefits are included in the model for a sub-set of countries and years. The main policy instruments that are currently not included in the **TaxBEN** model are taxes on wealth (e.g. taxes on immovable and unmovable properties), indirect taxes (e.g. VAT), early-retirement benefits, short-time work compensation schemes, sickness benefits, and in-kind benefits (e.g. subsidised transport and free health care).

Useful online resources for the OECD tax-benefit model (TaxBEN)



[TaxBEN web calculator](#)



[Methodology and user guide](#)



[OECD tax-benefit data portal](#)



[Network of national experts](#)

Guidelines for updating this report (for national experts)



[General guidelines](#)

Detailed [guidelines for updating Section 5](#) “Net costs for Early Childhood Education and Care”

Reading notes and further details on the content of this report

- **Reference date** for the policy rules described in this report: **January 1, 2021**.
- **TaxBEN** models all policies in effect on the reference date. This includes temporary policies implemented in response to the **Covid-19 pandemic**. Where relevant, temporary measures are described in *italic font*.
- The symbol ⓘ in the text provides a link to the glossary of technical terms.
- Section titles provide the names of taxes and benefits as they are known in the country: first, direct translation into English, then (in brackets) the name in the national language.
- **TaxBEN** variables are indicated in the text using the format **[variable name]**.

The OECD tax-benefit model for Austria: Policy rules in 2021

1. Reference wages

Average wage **[AW]**: The OECD tax-benefit model (TaxBEN) uses Secretariat estimates of the average full-time wage (available [here](#)).¹ If Secretariat estimates are not available yet, the model uses wage projections obtained by applying forecasted wage growth² to the latest available wage estimate.

Minimum wage **[MIN]**: There is no statutory minimum wage in Austria.

2. Unemployment benefits

The unemployment benefit system in Austria consists of two schemes. i) a contributory scheme (unemployment benefit, *Arbeitslosengeld*) and ii) a contributory, needs-based scheme (unemployment assistance, *Notstandshilfe*).

The unemployment benefit is described in Section 2.1, unemployment assistance in Section 2.2.

2.1. Unemployment benefit (*Arbeitslosengeld*)

Variable names:³ **[UB; UI_p; UI_s]**

This is an unemployment insurance benefit. It is contributory, not means-tested and not taxable. 

2.1.1. Eligibility conditions

Unemployment insurance (UI) is compulsory for dependent workers but only up from gross monthly earnings of EUR 475.86 (*Geringfügigkeitsgrenze 2021*)⁴. Civil servants

¹ Average Wages are estimated by the [Centre for Tax Policy and Administration](#) at the OECD. For more information on methodology see the latest [Taxing Wages publication](#).

² Wage growth projections are based on [OECD Economic Outlook](#) and [EU economic forecasts](#) (for non-OECD countries).

³ Each (sub-)section in this chapter lists the variable names for the different benefits and taxes as they are used in TaxBEN. The first variable usually denotes the aggregate component while variable names ending with “_p” refer to the first adult (so-called “principal” adult) whereas those ending with “_s” are related to the spouse (alternative specifications to denote adults are possible, e.g. “_1” and “_2”). For instance, in this section, **UB** denote unemployment benefits, which are the sum of individual-specific unemployment insurance benefits of the principal adult, **UI_p**, and the spouse, **UI_s** (as relevant), and unemployment assistance benefits (see Section 2.2).

⁴ Including 13th and 14th monthly payments for dependent employees. Independent contractors are not entitled to 13th and 14th monthly payments, so for them it is the minimum monthly earnings * 12 (not modelled in TaxBEN)

are not subject to Unemployment Insurance. Self-employed workers can insure themselves voluntarily.

Age: None.

Contribution/employment history: 52 weeks in the last 24 months. Only 28 weeks in case of repeated spells of unemployment (this case is assumed in TaxBEN). For persons under age 25, a 26-week employment record in the last 12 months is sufficient to qualify for their first UI benefit.

Behavioural requirements and related eligibility conditions:  TaxBEN assumes that the following compulsory conditions are satisfied when simulating unemployment benefits.⁵ The benefit claimant is:

1. Registered as unemployed;
2. Available, able and willing to work.

2.1.2. Benefit amount

Benefits are defined as a percentage of after tax income: 55 per cent of the average net reference income over a year (which is called the basic amount). If the unemployment benefit for the maintenance of dependants falls short of the equalisation supplement reference rate for a single person (*Ausgleichszulagenrichtsatz*, see Section 2.2.2) then a supplement (*Ergänzungsbetrag*) is granted. Furthermore, a family supplement (*Familienzuschlag*) may be added. Total benefits may not exceed 60 per cent of reference income and 80 per cent for benefit recipients with dependants, respectively.

Maximum monthly earnings for the purpose of calculating the maximum benefit amount are EUR 5,130 (2021) which results in a maximum benefit of 59.48 (without possible family supplements) per day. Note that the cap of the contribution-base to the UI-fund is at EUR 5,550 (see Section 7.1). The daily benefit is increased by EUR 0.97 per dependent (including children and under certain requirement⁶ also partners; family supplement).

In TaxBEN, “net income” is defined as gross earnings minus social security contributions, minus income tax.

To support unemployed workers in the COVID-19 Pandemic, two lump-sum payments have been made so far. In September 2020, the first payment was 450 Euros to all persons who received UI or UA for at least 60 days between May and August. In December 2020, the second Bonus amounted from 150 to 450 Euros depending on the duration of unemployment between September and November 2020 (450 Euros for at least 45 days of receiving UI or UA, 300 Euros for at least 30 days and 150 Euros for 15 days) (see section 2.2. The second lump-sum payments was also paid to sickness benefit recipients who had previously received UI or UA. As these payments were made after the 1st of January 2020 and before the first of January 2021, they are not included in TaxBEN.

⁵ Details on behavioural requirements and sanction provisions for unemployment benefits are reported in regularly updated companion reports, see [Immervoll and Knotz \(2018\)](#), [Langenbucher \(2015\)](#) and [Venn \(2011\)](#).

⁶ The following requirements have to be met: the partner has no income or an income lower than EUR 460.66 per month (*Geringfügigkeitsgrenze* 2021), the unemployed has substantially contributed to the partners income and there is an entitlement to a family supplement for at least one child.

Figure 1. Unemployment benefit by earnings, 2021



Note: Jobseekers are assumed to have a contribution record of 22 years, and to have earned the same monthly wage each month. The marginal income threshold is 475.86 Euros per month (6 662 per year including bonus payments). The spouse in the one earner couple is presumed to be not working, and not entitled to unemployment benefits. The children are 4 and six years old.

2.1.3. Source: OECD TaxBEN model. Benefit duration

Benefit is payable 7 days per week immediately upon entry in unemployment, without a waiting period. The total duration is 20 weeks. Extensions of benefits depend on the employment record and age-related ceilings:

- 30 weeks after 156 weeks of employment covered by unemployment insurance.
- For recipients aged 40 and above: 39 weeks after 312 weeks of employment covered by unemployment insurance in 10 years.
- For recipients aged 50 and above: 52 weeks after 468 weeks of employment covered by unemployment insurance in the last 15 years.

The benefit duration can be increased up to 156 weeks or up to 209 weeks for workers participating in specific labour market policy activities (employment foundations – *Arbeitsstiftungen*; not modelled in TaxBEN).

Since January 1st 2011, the duration of unemployment benefit may be extended up to a maximum of 78 weeks, after having absolved measures of rehabilitation (*“Maßnahmen der beruflichen Rehabilitation”*). This permanent measure of extension primarily aims at long-time unemployed and elderly workers and follows the principle of “rehabilitation before and instead of pension” (not modelled in TaxBEN).

2.1.4. Means test

The benefit is not means-tested.

2.1.5. Tax treatment

Unemployment insurance benefit is not taxable.

2.1.6. Interactions with other components of the tax-benefit system

None.

2.1.7. Combining benefit receipt and employment/starting a new job

The basic benefit is not affected by the beneficiary's own work related earnings as long as they do not exceed EUR 475.86 per month (excluding the 13th and 14th payment). Earnings from work above this level result in the loss of benefit entitlements for the duration of the employment.

If the recipient has a work contract which lasts 27 days or less, with an earning more than EUR 475.86, benefits are withdrawn completely during the period of work. Additionally, benefits for days not worked in that month will be reduced according to the following rule: The net income is reduced by the marginal earnings threshold (*Geringfügigkeitsgrenze 2021*; EUR 475.86) and 90 percent of the remaining income are divided by the remaining unemployed days per month. In some cases (such where the benefits are not very high and/or earnings are rather high) this reduction can, result in a complete withdrawal. This rule for temporary contracts of short duration are not modelled in *TaxBEN*.

2.2. Unemployment assistance (*Notstandshilfe*)

Variable name: [UB; UA_p; UA_s]

This is a second unemployment insurance benefit. It is contributory, needs-based, and not taxable. 

2.2.1. Eligibility conditions

Unemployment assistance (UA) is only payable after exhaustion of UI benefits (i.e. claimants must have already received UI benefits) and if the person is in need. It is means-tested against incomes of recipients.

Behavioural requirements and related eligibility conditions:

1. Registered as unemployed;
2. Available, able and willing to work.

2.2.2. Benefit amount

The benefit amounts to 92 per cent of the previous basic UI benefit or 95 per cent of the previous basic UI benefit plus 95 per cent of the supplement (*Ergänzungsbetrag*) for low income groups, i.e., persons whose total unemployment insurance benefits were less than EUR 1 000.48 per month (this amount is the standard value for the equalisation supplement reference rate, the so called *Ausgleichszulagenrichtsatz* – equivalent to EUR 33.35 per day). Family supplements as described in Section 2.1 above are paid on top of that.

TaxBEN-specific comment: In calculating UA, monthly net income is required. Due to annualisation in *TaxBEN*, a proxy gross income of 12/14^{ths} of the full gross income (incl. bonuses) is used to calculate this net income. This is due to different taxation rules applying to months 13 and 14.

Because of the COVID-19 Pandemic, UA has been increased to the level of UI for all recipients from 16th of March 2020 to 31th of March 2021.⁷

⁷ This measure is not applicable to the *TaxBEN* model, because jobseekers are assumed to have lost their job on the 1st of January 2021. Because the minimum UI entitlement is 30 weeks, no jobseeker would be transitioned to UA before March 2021.

To support unemployed workers in the COVID-19 Pandemic, two lump-sum payments were made so far. In September 2020, the first payment was 450 Euros to all persons who received UI or UA for at least 60 days between May and August. In December 2020, the second Bonus amounted from 150 to 450 Euros depending on the duration of unemployment between September and November 2020 (450 Euros for at least 45 days of receiving UI or UA, 300 Euros for 30 days and 150 Euros for 15 days) (see section 2.2). The second lump-sum payments was also paid to sickness benefit recipients who had previously received UI or UA.

See also section 2.2.1.

2.2.3. Benefit duration

52 weeks upon granting; the benefit may be extended for 52 weeks repeatedly as long as recipients qualify and until old-age pension entitlements accrue.

2.2.4. Means test

UA is affected by other income (income from rent, interest, etc. affects UA). The benefit is not affected by the beneficiary's own work related income as long as this income does not exceed EUR 475.86 per month; earnings from work above this level result in the loss of benefit entitlements for the duration of the employment. If the recipient works not more than 27 days, UA benefit for days not worked is reduced (see also Section 2.1). Since 1 July 2018, UA is not affected anymore by partner's income. This rule for temporary contracts of short duration are not modelled in *TaxBEN*.

2.2.5. Tax treatment

The benefit is not taxable.

2.2.6. Interactions with other components of the tax-benefit system

None.

2.2.7. Combining benefit receipt and employment/starting a new job

See Section 2.2.4.

3. Social assistance and housing benefits

In Austria, two forms of minimum income provision benefits exist: i) a general assistance (means-tested minimum income, *Bedarfsorientierte Mindestsicherung*) and a supplementary pension (*Ausgleichszulage*). The first benefit is covered in Section 3.1. The latter is only paid to age pensioners or other persons incapable of working and is, therefore, not considered in *TaxBEN*.

Housing costs can be covered partly within the means-tested minimum income (as described in Section 3.1) and an additional related subsidy (*Mindestsicherung-Mietbeihilfe*, Section 3.2) as well as two further schemes called *Wohnbeihilfe* (Section 3.3) and *Mietzinsbeihilfe* (not modelled in *TaxBEN*).

3.1. Means-tested minimum income/ Social Assistance (*Bedarfsorientierte Mindestsicherung/ Sozialhilfe*)

Variable name: [\[SA; HB_SA\]](#)

This is a non-contributory benefit which is means-tested, needs-based and not taxable.

On the 1st of June, 2019 a Principle Law on social assistance (*Sozialhilfe-Grundsatzgesetz*) entered into force. As a joint framework, this Principle Law must be executed through implementing laws by the federal states, which will replace the old minimum income schemes in Austria's provinces (*Bedarfsorientierte Mindestsicherung*).

By the 1st of January 2021, four federal states, Upper Austria Lower Austria, Carinthia and Salzburg have implemented this principle law, and other states are expected to follow. The aim of the principle law on social assistance is to harmonize the main principles of social assistance at the national level, and to establish a binding framework for the Federal provinces. However, within this framework, the federal states continue to have some discretion for their policy priorities. As of 1st of January 2020, there is no national minimum standard across the nine federal states, and benefits are regulated differently across states. TaxBEN models the benefit in Vienna.

3.1.1. Eligibility conditions

The means-tested minimum income respectively social assistance is based on a subsidiary principle and, therefore, constitutes the last resort in social security. Persons are eligible only if they do not have adequate financial resources to support themselves and their dependents, respectively, through other resources (e.g., income, social insurance) or assets.

3.1.2. Calculation of gross benefit

The benefit is due twelve times a year. It amounts to EUR 949.46 for single persons and EUR 1424.20 for couples per month in Vienna (2021). In the means-tested minimum income scheme these figures comprise a share of 25% for housing costs.

The following table shows monthly rates for three regions.

Monthly rates in EUR

Family type	Carinthia (2021)	Upper Austria (2021)	Vienna (2021)
Single person	949.46	949.46	949.46
Couple	1,329.24	1,329.24	1,424.20
Dependent child	199.39 per child	237.37 (for one child) 189.89 (with 2 children per child) 142.42 (with 3 children per child) 118.68 (with 4 children per child) 113.94 (with 5 or more children per child)	256.35

Remarks: In Carinthia and Vienna the rates include the benefits for housing (25%). Exception: Dependent child in Vienna. TaxBEN simulates the rates for Vienna.

Since January 2013, the heating supplement in Vienna has been reformed into the “energy support”. Recipients of the minimum income scheme or a supplementary pension (*Ausgleichszulage*) qualify for this measure which covers financial support for energy cost arrears, energy advice and financing of measures according to household

needs (as these benefits are determined on an individual basis, “energy support” is not modelled in TaxBEN).

Since February 2018 (amending law), Vienna has its own minimum standards for 18 to 25 year olds, two different levels. The level of the standard depends on whether the person is in education or vocational training, or she is employed or in a training measure of the Public Employment Service or in an integration measure. The starting value of the standard depends on whether the person lives in the household of the parents or manages a household alone. As TaxBEN does not model whether individuals are undertaking study, only the low minimum standards are included in the model.

3.1.3. *Benefit amount*

See Section 3.1.2.

3.1.4. *Benefit duration*

As long as eligibility conditions are fulfilled.

3.1.5. *Means test*

Entitlements depend on household resources rather than those of the individual or nuclear family. Officially, other relatives have a duty under family law to provide financial support. The obligation under the social assistance law to pay back benefits later when income is received was abolished. Thus, every income and moveable asset (with some exceptions) is considered in the means and income test apart from family benefits.⁸

If the household income is below the means-tested minimum income threshold irrespective of reason (e.g. low unemployment benefit, low wages) people concerned are entitled to a “top-up” means-tested minimum income.

3.1.6. *Tax treatment*

The benefit is not taxable.

3.1.7. *Interaction with other components of the tax-benefit system*

According to a recent decision of the Verwaltungsgerichtshof (VwGH) in Austria, the family supplement to unemployment benefits must no longer be part of the means-test as of February 2016. While the decision implies that unemployed persons might benefit retroactively from 2010 onwards, TaxBEN models this only starting in 2016.

3.1.8. *Combining benefit receipt and employment/starting a new job*

See Section 3.1.5.

⁸ Since the introduction of the new social assistance scheme, there is a new exemption limit on assets (EUR 5,696.76); before in the means tested minimum income scheme it amounted to about EUR 4,700. Every asset over the exemption limit on assets has to be used up before a benefit can be granted. Alimony payments from the absent parent are taken into account when calculating the entitlement to the means-tested minimum income. Note that TaxBEN does not take into account income from assets and hence does not model this exemption limit.

3.2. *Housing benefit under the means-tested minimum income (Mindestsicherung / Sozialhilfe -Mietbeihilfe)*

Variable names: **[HB; mietbeihilfe]**

This is a non-contributory benefit, means-tested and not taxable.

Recipients of means-tested minimum income receive a basic subsidy for housing costs (25% of the applicable minimum standard, as covered in the rates shown in Section 3.1.2)⁹ and in case of high housing costs an additional supplement called “Mietbeihilfe”. Persons with small pensions (e.g. persons receiving supplementary pensions) may also receive a “Mietbeihilfe” (note however that pensioners are not considered in TaxBEN). The “Mietbeihilfe” is granted monthly to pension/minimum income benefit recipients in Vienna, if the amount of the rent leads to a total income below a certain level. Because the treatment of housing costs varies widely between federal states, Vienna is taken as a reference.

3.2.1. *Eligibility conditions*

Austrian citizens and persons with equal status (persons with a refugee or subsidiary protection status, EU/EFTA citizens, third country nationals with a Permanent leave to remain, third country nationals with a Residence permit for permanent residence). To qualify, persons need to receive pension or minimum income scheme benefits.

3.2.2. *Calculation of gross benefit*

The amount depends on the rent per month, the household income per month, the number of the people living in the household and the size of the flat. “Mietbeihilfe” is calculated as the difference between the maximum amount of “Mietbeihilfe” (“Mietbeihilfenobergrenze”), or the actual rent paid (minus “Wohnbeihilfe” in case the person receives this benefit; see Section 3.3) if this is lower, and the basic subsidy for housing costs, which is set at 25% of the applicable minimum standard.

Maximum amount of “Mietbeihilfe” (“Mietbeihilfenobergrenze”) for people receiving the means-tested minimum income or pensions in Vienna

Monthly rates, 2021

Persons in household	Maximum amount in EUR
1 or 2	354.84
3 or 4	372.04
5 or 6	394.13
7 and more	415.01

For example, in case of a 1-Person household, if the rent paid exceeds the level as outlined in the table above and if the housing costs are higher than the basic subsidy for housing costs (in case of a 1-Person household EUR 237.36 = 25% of the applicable minimum standard), the additional “Mietbeihilfe” will be EUR 117.48 (EUR 354.84 minus EUR 237.36).

For persons with small pensions and older recipients (above legal retirement age which currently is 60 for women and 65 for men) of the means-tested minimum income

⁹ This will change slowly with the implementation of the Principle Law on social assistance (Sozialhilfe-Grundsatzgesetz) in the provinces.

(“DauerleistungsbezieherInnen”), the basic subsidy for housing costs is smaller (9% or 13.5% of the applicable minimum standard depending on the family type). These persons can therefore get a higher additional “Mietbeihilfe” (e.g. in case of a 1-Person household EUR 226.66 in 2021). As TaxBEN considers working-age individuals only, this is not modelled.

3.2.3. *Benefit amount*

See Sections 3.1.5 and 3.2.2.

3.2.4. *Benefit duration*

As long as eligibility conditions are fulfilled.

3.2.5. *Means test*

See Section 3.2.2. Means-tested minimum income is not taken in to account as income for the means test for the *Mietbeihilfe*.

3.2.6. *Tax treatment*

The benefit is not taxable.

3.2.7. *Interaction with other components of the tax-benefit system*

None.

3.2.8. *Combining benefit receipt and employment/starting a new job*

See Sections 3.1.5 and 3.2.2.

3.3. ***Housing support (Wohnbeihilfe)***

Variable name: **[HB]**

“Wohnbeihilfe” (granted by the city of Vienna) depends on the type of housing:

- subsidised built houses,
- subsidised renovated houses,
- privately rented, non-subsidised built or renovated houses – called “Allgemeine Wohnbeihilfe”.

3.3.1. *Eligibility conditions*

Only for persons with Austrian nationality, persons equal in law and foreigners with a legal stay in Austria for more than five years. In addition, a net-income per month is required, at least

- for one person EUR 949.46;
- for two persons EUR 1425.53;
- per child EUR 146.50.

“Wohnbeihilfe” is not paid to owners of houses and tenants with family relationships to lessors.

3.3.2. *Calculation of gross benefit*

The difference between “Anrechenbarer Wohnungsaufwand” (countable housing expenditure) and “Zumutbarer Wohnungsaufwand” (reasonable housing expenditure) is paid as “Wohnbeihilfe”.

For the case of privately rented, non-subsidised built or renovated houses:

a) “Anrechenbarer Wohnungsaufwand“ (countable housing expenditure) = the legally permitted rent laid down in the lease contract:

- in case of a tenancy for an indefinite period and Category A flats - EUR 5,81 per m² at maximum (this is the rent implemented in TaxBEN),
- in case of a tenancy for a definite period and Category B flats - EUR 4,36 per m² at maximum,
- in case of Category C+D flats - EUR 2,91 per m² at maximum.

b) “Zumutbarer Wohnungsaufwand” (reasonable housing expenditure) is defined according to household income and size (latest reference values are from April 2014).¹⁰ The reasonable amount for 2017 is defined at EUR 1,80 per m². The rate is adjusted for public tenants, as the latter is used for private tenants if it is higher.

The family income as basis of the “Zumutbarer Wohnungsaufwand” is reduced per 20% in favour of families in special situations, e.g. (focussing on situations relevant for TaxBEN):

- families with all members under the age of 40,
- families with one child under the age of six,
- with at least three children,
- single parent families.

3.3.3. *Benefit amount*

See Section 3.3.2.

3.3.4. *Benefit duration*

As long as the eligibility conditions hold.

3.3.5. *Means test*

See Section 3.2.2. Means-tested minimum income is not taken in to account as income for the means test for the *Wohnbeihilfe*.

3.3.6. *Tax treatment*

The benefit is not taxable.

3.3.7. *Interaction with other components of the tax-benefit system*

None.

¹⁰

www.wien.gv.at/wohnen/wohnbaufoerderung/ahs-info/pdf/wbh-allepersoneneinkommen.pdf. For the implementation, TaxBEN uses a quadratic trend procedure to approximate the values for reasonable housing expenditure reported in the tables, which provides a very precise fit. The procedure is updated regularly based on the official values.

3.3.8. Combining benefit receipt and employment/starting a new job

See Section 3.3.5.

4. Family benefits

In Austria, one general family benefit exists (*Familienbeihilfe*), and two supplements, the School Bonus (*Schulstartgeld*) and a multiple child bonus (*Mehrkindzuschlag*). All are covered together in Section 4.1. Furthermore, a child tax credit (*Kinderabsetzbetrag*) is granted, which is described in Section 4.2. Finally, a childcare benefit (*Kinderbetreuungsgeld*) is paid irrespective of the enrolment in care, which is covered in Section 4.3.

4.1. Family benefit (*Familienbeihilfe*)

Variable names: **[FB; FAMBEN]**

This is a non-contributory benefit, not means-tested and not taxable.

4.1.1. Eligibility conditions

Family allowances are paid to all families with dependent children. For minor children there are no special requirements, children of full age must be students or in vocational training.

4.1.2. Benefit amount

The amounts vary with child ages. The monthly family benefit for children under the age of 3 is EUR 114.0, it is EUR 121.9 from the age of 3 to the age of 10, it is EUR 141.5 to the age of 19 and EUR 165.1 per month for children older than 19. For severely disabled children additional €155.90 per month (not modelled).

For students and children in vocational training, family benefits can be paid until the age of 24 (in some exceptions until the age of 25).

The total amount of family benefit is dependent upon the number of children in the family for which family benefit is received. The family benefit received increases with every child. For example, if family benefit is received for two children, then the additional sum received amounts to € 7,10 per child; for five children the amount is € 32,0 per child; for seven and more children € 52,0 per child (TaxBEN assumes a maximum number of 4 children only).

There is a further increase, a multiple child bonus (*Mehrkindzuschlag*) of EUR 20 per month for the third and each further child if the household taxable income is below the annual limit EUR 55,000 per year.

Every September an additional school bonus of EUR 100 is granted for children between 6 and 15 (*Schulstartgeld*).

4.1.3. Benefit duration

As long as the eligibility conditions hold.

4.1.4. Means test

Family benefit is not subject to any means test.

However, for children above the age of 19 who have an income above € 15,000, the amount of family benefit received is reduced successively. At an annual income of €

16,981.2 it is reduced to zero. For children with a severe disability, the amount at which this amount is reduced to zero is € 18,852.0 (these cases are not modelled in TaxBEN).

4.1.5. *Tax treatment*

Family benefit is not taxable.

4.1.6. *Interaction with other components of the tax-benefit system*

See Section 4.2.

4.1.7. *Combining benefit receipt and employment/starting a new job*

Employment doesn't affect benefit receipt.

4.2. **Child tax credit** (*Kinderabsetzbetrag*)

Variable names: **[FB; C_CHIL_p]**

This benefit is paid in form of a tax credit together with family benefit and is refundable, i.e. not connected with income tax assessment (also families who pay no taxes receive it as a negative tax). It is therefore treated as a benefit in TaxBEN.

4.2.1. *Eligibility conditions*

Any family receiving family benefit (see Section 4.1) is eligible to the child tax credit.

4.2.2. *Benefit amount*

Child tax credit is EUR 700.8 per child per year (58.40 per month).

4.2.3. *Benefit duration*

As long as the eligibility conditions hold.

4.2.4. *Means test*

See Section 4.1.4.

4.2.5. *Tax treatment*

Child tax credit is tax free.

4.2.6. *Interaction with other components of the tax-benefit system*

See Section 8.1.4.

4.2.7. *Combining benefit receipt and employment/starting a new job*

Employment doesn't affect benefit receipt.

4.3. **Childcare allowance** (*Kinderbetreuungsgeld*)

Variable names: **[FB; CBB]**

Childcare allowance (*Kinderbetreuungsgeld*, *KBG*) is a financial support for parents regulated by the Childcare Allowance Act and is a family benefit. All parents are legally entitled to it. In particular, the benefit is paid irrespective of child enrolment in care. In TaxBEN it is therefore modelled as a family benefit.

The benefit is granted for children born from 1 January 2002. For births from 1st March 2017 new legal measures were introduced. In the following, the new system is described.

4.3.1. Eligibility conditions

Childcare allowance is a family benefit and is received by all mothers/fathers (also adoptive or foster parents), regardless of whether they were in employment before the birth (exception: income related childcare allowance, cp. below), and is thus also available to housewives, students, etc. The conditions for receipt of childcare allowance are:

- entitlement to family benefit (“*Familienbeihilfe*”, cp. Section 4.1),
- the parent claiming the childcare allowance has to live in the same household as the child,
- the examinations according to the mother-child pass programme have to be carried out and
- the ceiling of additional earnings (depending on the chosen option) may not be exceeded.
- Furthermore, parent and child must have their centre of interests (“*Mittelpunkt der Lebensinteressen*”) within the federal territory; nationals of third countries have to stay legally (“*rechtmäßiger Aufenthalt*”) in Austria.
- Childcare allowance cannot be claimed while there is entitlement to maternity allowance (not modelled in TaxBEN). However, if maternity allowance is lower than childcare allowance, there is an entitlement to a supplementary amount up to the level of childcare allowance.
- Childcare allowance is only paid for the youngest child.

Entitlement to childcare allowance does not depend on the form of childcare parents choose.

4.3.2. Benefit amount

Claimants may choose between two schemes:

1. *Childcare allowance account* (a flat-rate benefit) recognizes and remunerates in part the commitment and work involved for parents in caring for small children. Parents may claim these allowance irrespective of whether they were economically employed prior to the birth of the child.
2. *Income-related childcare allowance* is primarily designed to give better earning parents – who want to withdraw from the labour market for a limited period of time only – the opportunity of receiving some compensation for the earnings foregone during that period. Thus, the income-related allowance scheme is primarily designed as a parental leave benefit and therefore it is not considered in TaxBEN (further details can be found in the Annex).

b) Childcare allowance account for births as of 1st March 2017 (flexible flat-rate childcare allowance)

Childcare allowance account can be taken flexibly within the duration of 365 and 851 days (which is approximately 12 to 28 months) from the birth of the child by one parent, or from 456 to 1,063 days (approximately 15 to 35 months) for both parents. For the shortest variant (basic variant) childcare allowance amounts to EUR 33.88 per day and for the longest it is EUR 14.53 per day. For this variant, 20% is allotted to the second

parent, which is not transferable (in the shortest it is 91 days). TaxBEN assumes the longest possible period (and, hence, that in couple households, both partners claim the benefit) and accordingly a daily rate of EUR 14,53.

Under the flat-rate childcare allowance scheme, the parent claiming the allowance may earn 60% of their prior income, at a minimum EUR 16,200 per calendar year. The TaxBEN model assumes that the partner earning the least income claims the allowance. Under the childcare allowance account, lone parents and married couples (or partners) on low incomes may apply for a supplementary payment of child care allowance amounting to EUR 6.06 per day for a maximum time period of 365 days. During the period in which a supplementary payment is received, the person receiving childcare allowance can earn up to EUR 7,300 per calendar year. Concerning married couples/partners there is an income limit for the partner as well: EUR 16,200. The TaxBEN model assumes this supplement is claimed during the first year of the child.

Partner Bonus: Independently of the option chosen, a partner bonus was introduced for births from 1st March 2017. If both parents claim childcare allowance almost equally (50:50 or at most 60:40), a partner bonus of EUR 1,000 (EUR 500 per partner) can be received as a lump-sum payment at the end of the claim period.

Supplements:

Further supplements exist for the case of multiple births and for lone parents in case of “hardship”. These options are not modelled in TaxBEN.

4.3.3. Benefit duration

See Section 4.3.2.

4.3.4. Means test

Definition of income: The following income within the definition of the Income Tax Act (*Einkommensteuergesetz*) is taken into account for the calculation:

- Income from agriculture and forestry (not relevant in TaxBEN),
- Income from independent personal services (not relevant in TaxBEN),
- Income from commercial activities (not relevant in TaxBEN),
- Income from employment: see Section 4.3.7.

4.3.5. Tax treatment

The benefit is not taxable.

4.3.6. Interaction with other components of the tax-benefit system

Family benefit and unemployment insurance benefits can be received at the same time if the income limit is not exceeded (exception: income-related childcare allowance and unemployment insurance benefits). For further conditions, see Section 2.1.

4.3.7. Combining benefit receipt and employment/starting a new job

Under the childcare allowance account scheme, parents may earn 60% of their prior income, at a minimum EUR 16,200 per calendar year. Childcare allowance is reduced by any income above the threshold.

The supplementary payment to childcare allowance under the childcare allowance account is reduced by the excess amount if earnings do not exceed the additional limit plus 15% for both parents. If earnings exceed the additional limit plus 15%, the entire benefit is withdrawn.

4.4. COVID-19 measure: Covid-19 Hardship fund for families (Corona-Familienhärtefonds)

Variable names: **[FB; HFF]**

The hardship fund for families has been created to support families with children who have suffered an income loss because of the COVID-19 Pandemic. Applications are open until the 30th of June 2021. This is a non-contributory benefit, means-tested and not taxable.

TaxBEN specific comment: In TaxBEN, only the principal adult can receive unemployment benefits. In any model run where the spouse is out of work, it is assumed that they are not entitled to unemployment benefits (e.g. because they do not have the necessary contribution history). As a consequence, two-parent households are only eligible for the hardship fund on the basis of a job-loss of the principal adult.

4.4.1. Entitlement and eligibility conditions

Families are entitled to support from the hardship fund if

- At least one parent was employed on the 28th of February 2020 and lost their job (and is entitled to unemployment benefits)¹¹ or was furloughed because of the COVID-19 Crisis (not modelled). Self-employed parents who lost income because of the COVID-19 crisis as per the definition of the chamber of commerce's hardship fund are also eligible for support from the family hardship fund (not modelled in TaxBEN).
- At least one child receiving family benefit (section 4.1) lives in the household.

4.4.2. Benefit amount

The benefit amount is calculated as follows: first, a *family factor* is determined – the first adult in the household has a weight of 1, the second adult 0.6, any children under the age of 10 has a factor of 0.4, any children between the ages 10 and 15 of 0.6, and any children over the age of 15 has a factor of 0.8. This factor is then multiplied by 300 to arrive at the maximum possible benefit amount. For example, for a two parent family with one 14 year-old and one 17 year-old child, the maximum amount would be $(1+0.6+0.6+0.8)*300=900$ Euros. The benefit paid out is the loss of income suffered because of the job loss or furlough, up to this threshold. For dependent employees who lost their job this is the difference between their net salary when in work and the unemployment benefit they receive. The maximum benefit cannot be over 1,200 Euros per month, however. Also, the income must stay under the stated family-income-limits (see section 4.4.4.). No benefit is paid if the total calculated amount is under 50 euros (including the means-test, see below). Figure 2 shows the amount of hardship funds for families for two couple households with children where one parent has lost their job because of the COVID-19 pandemic, by previous earnings.

¹¹ Specifically, recipients must have earned above the minimum contribution threshold, <https://www.bundeskanzleramt.gv.at/service/coronavirus/coronavirus-infos-familien-und-jugend/corona-familienhaerterausgleich.html>, [accessed 11th June 2021]

4.4.3. Benefit duration

As long as eligibility persists, but for a maximum of 3 months.

4.4.4. Means-test

Benefits are paid as long as net family income during the COVID-19 affected months is below the following thresholds (no benefit is paid if the net family income is above these thresholds):

Income thresholds for the Covid-19 Hardship fund for families

Family composition	Income threshold
Single parent with one child	1.600,00 €
Single parent with two children	2.000,00 €
Single parent with 3 or more children	2.800,00 €
Couple with one child	2.400,00 €
Couple with two children	2.800,00 €
Couple with three or more children	3.600,00 €

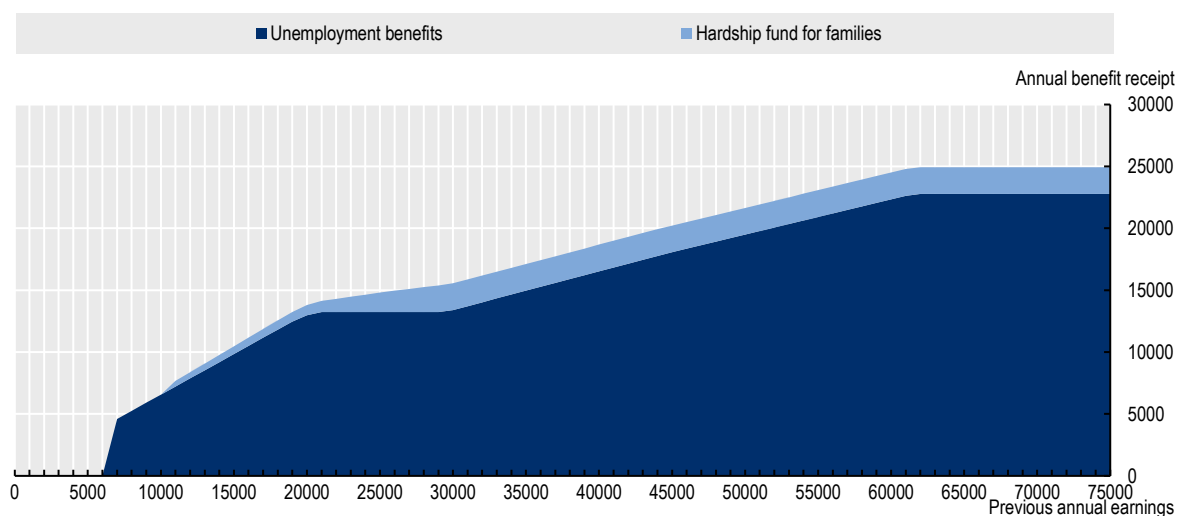
Source: <https://www.bundestkanzleramt.gv.at/service/coronavirus/coronavirus-infos-familien-und-jugend/corona-familienhaerteausgleich.html> [accessed 2nd September 2021].

“Family income” is defined as income from employment (without the 13th and 14th monthly payments) as well as from insurance-based benefits (such as unemployment insurance and assistance benefits, sick-pay, maternity pay etc.). It excludes family benefits, housing benefits and social assistance benefits.

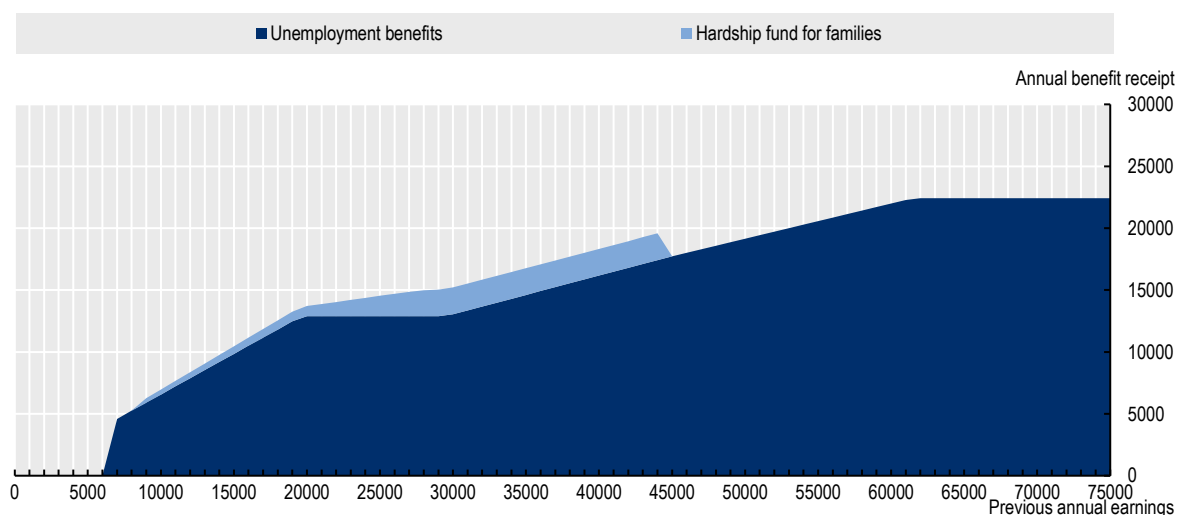
Additionally, family income (as defined above) may not exceed previous family income (before the COVID-19 affected months). TaxBEN assumes that in couple households, the income of the second earner was the same in 2021 as in 2020.

Figure 2. Covid-19 Hardship fund for families – amount by previous earnings

Panel A: Unemployed worker with non-working spouse and two children



Panel B: Spouse works two days a week at the average wage.



Note: Jobseeker lost their job on the 1st of January 2021 because of the COVID-19 pandemic. The children are four and six years old.

Source: OECD TaxBEN model.

4.4.5. Tax treatment

This benefit is not taxable.

4.4.6. Interactions with other components of the tax-benefit system.

None.

4.4.7. Combining benefit receipt and employment/starting a new job

The laid-off parent has to be unemployed or in a short-time working scheme.

4.5. COVID-19-Act against poverty (*Bundesgesetz zur Bekämpfung pandemiebedingter Armutsfolgen*)

In order to counteract the significant impact of the pandemic on low-income households, additional budget will also be available in 2021 to continue support measures for parents with children, who are or have been in receipt of social assistance or minimum income benefits. In addition, this law also provides for subsidies to households receiving social assistance to cope with rising energy costs (*Energiekostenzuschüsse des Bundes*: fuel and heating benefits).

To this end, a new national legislation, the “COVID-19-Act against Poverty”, was set into force in December 2020.

4.5.1. Entitlement and eligibility conditions

At least one parent is receiving social assistance or minimum income benefits as of January 31, 2021 and child benefits (*Zuwendungen des Bundes für Kinder*). Concerning the fuel and heating benefits: at least one person in the household is receiving social assistance or minimum income benefits as of March 31, 2021.

4.5.2. Benefit Amount

Families will receive a one-off-payment of 100 Euros per child. Households with or without children may receive financial support of up to 100 Euros to cover energy costs (there is no legal claim to such benefits). TaxBEN assumes that entitled households receive both of these benefits.

4.5.3. Benefit Duration

One-off-payments will be paid out in 2021 by the federal provinces. Criteria have to be met on January 31 and March 31 (further key dates can be determined in accordance with the availability of budgetary funds).

4.5.4. Means-test

Benefits depend on household/family resources (the eligibility for social assistance/minimum income benefits, which is already a means-tested benefit, is sufficient for receiving this benefit).

4.5.5. Tax treatment

This benefit is not taxable.

4.5.6. Interactions with other components of the tax-benefit system.

None

4.5.7. Combining benefit receipt and employment/starting a new job

Parents/Households have to be in receipt of social assistance/minimum income benefits. Allowances will not be credited against recurrent benefits of minimum income or social assistance.

5. Net costs of Early Childhood Education and Care

The **reference date** for the policy rules described in this section is **January 1, 2021**.

Percentage of children in childcare centres (including day-care givers) 2019/20:

- 0-2 years: 29,9%
- 3-5 years: 93,8%
- 6-9 years: 42,8% (including all day schools in 2019/20). Compulsory school-age is 6.

The enrolment rates decreased despite the considerable increase of child-day-care places for children in pre-school-age because of the COVID-19-crisis.

5.1. Gross childcare fees

Variable names: `[ATcc_cost]`

To improve social, linguistic and cognitive skills of preschool-children, compulsory child-day-care was introduced for all children at the age of 5 in September 2010. Day-care is provided free of charge for at least 4 hours per day for children of this age throughout Austria. The criteria in detail are fixed by a treaty between the federal government and the federal states.

Additionally, child-care is provided free of charge in the different states as follows: all-day-care for children 0 - 6 years in Vienna and Burgenland, half-day-care for children 2,5 - 6 in Lower and Upper Austria, half-day-care for children 4 - 6 in Tyrol.¹²

TaxBEN assumes the family is based in Vienna, and therefore no childcare fees are payable, except the cost of meals, set at a rate of currently EUR 68,23 per month per child under 6.¹³

5.1.1. Discounts for part-time usage

Not relevant for Vienna.

5.2. Fee discounts and free provision

See Section 5.1.

5.3. Childcare benefits for formal centre-based care

Childcare allowance (*Kinderbetreuungsgeld, KBG*) is a financial support for parents regulated by the Childcare Allowance Act and is a family benefit. All parents are legally entitled to it. In particular, the benefit is paid irrespective of child enrolment in care. In TaxBEN it is therefore modelled as a family benefit (see Section 4.3).

5.4. Child-care allowance for children not using child care centres

See Section 5.1.

¹² Since 2008, the expansion of childcare facilities – especially for children aged up to three years – was enhanced by funding by the federal government. To this end, the federal government invested a total amount of EUR 442.5 million from 2008 to 2018.

¹³ See <https://www.wien.gv.at/bildung/kindergarten/staedtisches-angebot/fakten.html>. In non-public day-care facilities, fees depend mostly on the family net income (which consists of partners' incomes, family allowance, etc.), the number of carers for children, the number of siblings. The costs vary considerably because they are defined by private child-care-centres and municipalities. Childcare is subsidised by federal states and communities in order to decrease parent's fees. Since 2009 the costs for qualified child day care are deductible from the calculation basis for income tax up to the amount of EUR 2,300 per year for each child up to the age of ten years (cp. Section 8.1.1). As TaxBEN does not assume non-public childcare, this is not modelled in TaxBEN.

6. Employment-conditional benefits

6.1. In-work benefit (*Kombilohnbeihilfe*)

Variable names: **[IW; IW_p; IW_s]**

For people who are over 50 years old and either more than 90 days unemployed or unemployed with low employment opportunities due to health impairments or long inactivity (implemented in TaxBEN for unemployed aged 50+ who take up employment); for people returning to work from parental leave, who are currently unemployed or in PES training; for job seekers with lessened work capability for health reasons and who have been unemployed (including PES training) for more than 182 days, the in-work benefit (*Kombilohnbeihilfe*) offers an incentive to take up low-paid or part-time employment. Unemployed persons after occupational rehabilitation, as well as persons who accept employment for which the way to/from work exceeds a reasonable distance (1h 15min one way or more than 30km distance) are also eligible for this benefit.

This measure is an instrument of active Labour Market Policy for unemployed with reduced chances of Labour Market inclusion aiming at the promotion of taking up work and is administrated by the Public Employment Service (AMS) on an individual basis. The allowance can only be granted as a result of a counselling and guidance process.

Until December 31st 2021, the supplement is higher and depends on weekly working hours (New Start Bonus, see section 6.2.). In 2021, TaxBEN implements only these higher rates and shorter duration of the benefit, although the established benefit can still be received by those belonging to the mentioned target group.

6.1.1. Eligibility conditions

The employment is required to involve at least 20 working hours per week. For persons, for whom a lower number of hours per week is recommended for reintegration in the labour market (either within the framework of a measure (e.g. fit2work, perspective plan,..) or determined by an assessment commissioned by the PES) the working time can be reduced to a minimum of 10 hours per week (not modelled in TaxBEN).

6.1.2. Benefit amount

The amount of the benefit is individually calculated by raising the unemployment benefit or the unemployment assistance by 45% / 55% / 60 %, depending on the working hours (20 resp. 10-25 hours a week / 25-30 / 30 hours and more). From January 1st 2022 the raise will be 30% (see 6.2). If the earned income is below this amount, the Public Employment Service (AMS) will pay the difference up to the maximum of 950 € in 2021. If the earned income is higher than 130% of the former payment of unemployment insurance benefits, no in-work-benefit is issued.¹⁴

6.1.3. Benefit duration

The maximum duration of benefit receipt is one year. Persons aged over 59 years that were unemployed for more than 182 days or after occupational rehabilitation may apply for a second and third year which has to be decided and granted again by the Public Employment Service (AMS, not modelled).

¹⁴ The monthly unemployment benefit (12 times a year) is compared to the net income including Holiday and Christmas payments, i.e. 14/12 of yearly net earnings.

For persons taking up a job between June 15th 2020 and December 31st 2021 who are not included in the target groups described above, the maximum duration is 28 weeks (see 6.2).

6.1.4. Means test

See Section 6.1.2.

6.1.5. Tax treatment

The In-work benefit is not considered as remuneration according to the Austrian Value-Added Tax Act (Umsatzsteuergesetz UStG) and is thus a tax-free benefit.

6.1.6. Interaction with other components of the tax-benefit system

The In-work benefit's amount refers to the assessment basis for the unemployment benefit according to the Austrian Unemployment Assurance Act [§ 21 Abs. 1 Arbeitslosenversicherungsgesetz (ALVG)].

The In-work benefit is considered as an attachable payment according to the Austrian Enforcement Regulation [§ 290a Abs. 1 Z 8 Exekutionsordnung (EO)].

6.2. COVID-19 pandemic emergency measure: New Start Bonus (*Neustartbonus*)

Variable names: **[IW]**

In addition to 6.1. In-work benefit (*Kombilohnbeihilfe*) described in 6.1 the so-called “*Neustartbonus*” (New Start Bonus) was introduced on the 15th of June 2020. The bonus is an adaption of the pre-existing in-work benefit “*Kombilohn*”. The New Start Bonus does not have a minimum age requirement, is not limited to the long-term unemployed, and is more generous than the *Kombilohn*. Older, long-term unemployed jobseekers, may still receive the standard in-work benefit *Kombilohnbeihilfe* (section 6.1.) in 2021. This might be more advantageous since the maximum duration of the benefit is longer. However, TaxBEN implements the New Start Bonus for all jobseekers taking up work in 2021.¹⁵

In the course of the easing of the Covid-19 measures, the new start bonus shall to support job take-ups and to contribute to filling vacancies as quickly as possible. Companies that are not yet working to full capacity should be able to re-employ their permanent staff (e.g. laid off for seasonal reasons). Persons who are planning to re-enter the labour market or change careers should not be financially worse off than they were before they became unemployed or while receiving unemployment benefit if they accept a part-time job.

6.2.1. Eligibility conditions

Previously unemployed persons can apply for the new start bonus if they accept a fully insured employment relationship of at least 20 hours per week, which pays less than their employment relationship before unemployment. The new start bonus is limited to work started between 15 June 2020 and 31st December 2021. Recipients must not have had a fully insured employment relationship with the same employer within the last 3 months for jobs started from June to November 2020, and for 6 weeks (job

¹⁵ Allowing jobseekers to choose between the benefits would imply an optimisation that takes into account the expected duration of unemployment, which is outside the scope of TaxBEN.

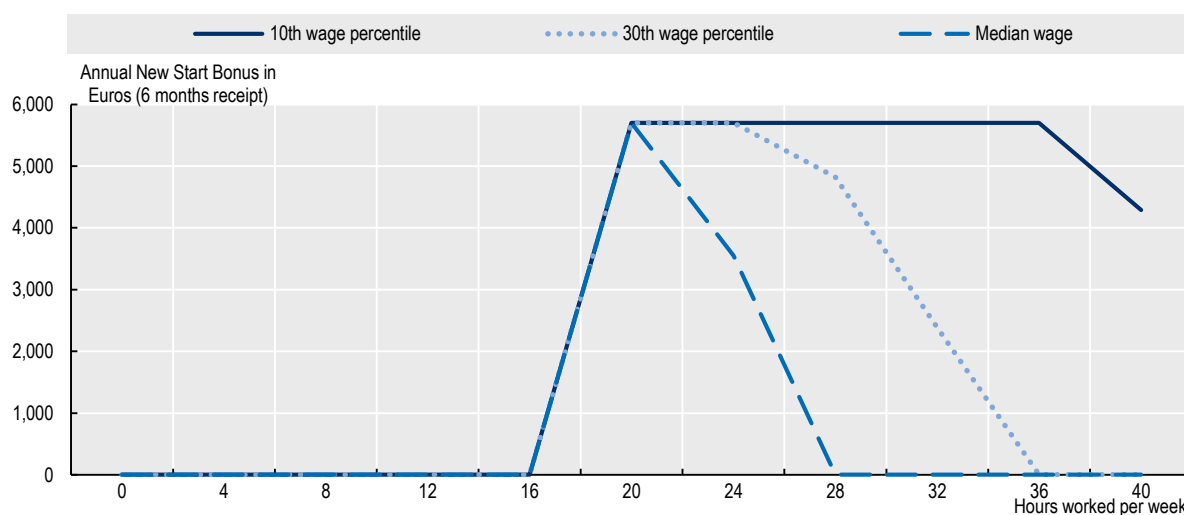
commencements from December 2020 until December 2021). TaxBEN assumes that the new job is with a different employer.

6.2.2. Benefit amount

The new start bonus is calculated as follows: The last unemployment benefit or assistance due is raised by 45% (jobs with 20 to under 25 weekly hours), 55% (jobs with 25 to under 30 weekly hours) or 60% (jobs with over 30 weekly hours). Net remuneration for the work performed is subtracted. The difference defines the benefit level, capped at 950 €. So, persons receive a normal part-time wage from their employer and additional payment from the Public Employment Service (AMS) up to € 950 net, see Figure 3. The raise will go back to 30% as before the “*New Start Bonus*” for jobs taken from January 1st 2022.

Figure 3. New Start Bonus amount by hours worked and wage level, 2021

Jobseeker who previously earned the average wage, and had been unemployed for two months before taking up a new job on 1st January 2021, assuming full six months receipt of in-work benefit



Note: Jobseeker is 40 years old and does not have dependents. The percentiles refer to the Austrian wage distribution.

Source: OECD TaxBEN model

6.2.3. Benefit duration

The benefit can be claimed for a maximum of 28 weeks. The currently planned budget for the new start bonus is € 30 million.

6.2.4. Means test

See 6.2.2.

6.2.5. Tax treatment

Not taxable.

6.2.6. Interaction with other components of the tax-benefit system

None.

7. Social security contributions and payroll taxes

7.1. Social security contributions (Sozialversicherungsbeiträge)

Variable names: [SC; SOCSEC_p; SOCSEC_s; SSCR_p_withoutPT_p; SSCR_p_withoutPT_s]¹⁶

Employee and Employer Social Security Contribution Rates in Austria, 2021

	Ceilings (EUR)		Rates (%)	
	Regular wage per month	Christmas and leave bonus per year	Employee ⁽²⁾	Employer ⁽³⁾
Health insurance	5,550	11,100	3.87	3.78
Unemployment insurance	5,550	11,100	⁽⁴⁾	3.00
Pension insurance	5,550	11,100	10.25	12.55
Accident insurance	5,550	11,100	--	1.20
Contribution to the labour chamber	5,550	⁽¹⁾	0.50	--
Contribution for the promotion of residential building	5,550	⁽¹⁾	0.50	0.50
Addition to secure wage payments in the case of bankruptcy	5,550	11,100	--	0.2

1. No contributions on Christmas and leave bonus. In Revenue Statistics, the contribution to the labour chamber is accounted under Taxes on Income of Individuals (1110), the total of the contribution for the promotion of residential buildings is included in Taxes on payroll (3000).

2. There is a threshold for employee contributions of EUR 475.86 per month (*Geringfügigkeitsgrenze*).

3. A new program has been introduced as of January 1, 2001 for severance payments ("Abfertigung"). Employers are required to pay 1.53 per cent of gross wages to the Social Health Security Fund ("Krankenkassen") for those whose employment started after that date. It can also apply to taxpayers who started working before 2001 if the employer and employee opt to participate in the new program. This contribution is considered as a non-tax compulsory payments (NTCP). NTCPs refer to compulsory payments made by employers or employees in connection with the employees' labour activity that do not qualify as taxes and social security contributions. See the ["Associated paper: non-tax compulsory payments"](#) to the latest OECD Taxing Wages report for more details on NTCPs. However, these contributions are not generally applicable to all taxpayers since those who started working before 2001 are not obliged to enter the new system so these NTCPs are not included in the calculations.

4. Employees' unemployment insurance rate is reduced for low earnings. On 1 January 2021, it is 0% for monthly earnings up to EUR 1 790, 1% up to EUR 1 953, 2% up to EUR 2 117 and 3% above.

7.2. Payroll taxes (Dienstgeberbeitrag; Kommunalsteuer)

Variable name: [PT_p; PT_s]

There are two payroll taxes which are levied on employers for all private sector employees with a monthly gross wage total of more than EUR 1 095: the contribution to the Family Burden Equalisation Fund (*Dienstgeberbeitrag*; 3.9 per cent) and the Community Tax (*Kommunalsteuer*; 3 per cent). The wage-dependent part of the contribution to the Austrian Economic Chamber (listed under heading 1000, taxes on profits, in the *Revenue Statistics*) which is levied, together with the contributions to the Family Burden Equalisation Fund, at different rates depending upon the Länder Chamber (the average rate is approximately 0.4 per cent) is not taken into account. The contribution for the promotion of residential buildings (listed under heading 3000, taxes on payroll, in *Revenue Statistics*) is included in the social security contributions shown

¹⁶ Variable names for social security contributions on current income and bonuses are not separately listed.

above as it is levied by the Health Insurance Companies on monthly income (current) along with the other social security contribution amounts.

8. Taxes

8.1. Personal income tax (*Einkommensteuer*)

Variable name: `[IT; INCTAX_p; INCTAX_s]`¹⁷

The tax unit is the individual.

8.1.1. Tax allowances

Work related expenses (*Werbungskostenpauschale*): a minimum allowance of EUR 132 is available to all employees.

Social security contributions (on current income): entirely.

8.1.2. Tax base

Note on the income concept: apart from 12 current monthly payments, Austrian employees usually receive two bonuses of the same amount. Whereas current payments are taxed according to the income tax schedule, there is a special favourable schedule for non-current payments (13th and 14th salary).

8.1.3. Income tax schedule

The tax schedule has a zero-zone up to EUR 11 000 and shows tax formulas for six tax brackets. The effective marginal tax rates resulting from these formulas are:

Income (EUR) up to	Marginal rate %
11 000	0
18 000	20
31 000	35
60 000	42
90 000	48
1 000 000	50
Above	55

There is a special taxation other than the normal tax schedule for Christmas and leave bonus to the extent that their sum does not exceed two average monthly payments (1/6 of current income) or EUR 83 333. If these bonuses before deduction of SSC are below EUR 2 100 per year, no tax is calculated. Otherwise the tax amount is calculated according to the following formula:

¹⁷ Variable names for income taxes on current income and bonuses as well as for tax allowances and tax credits are not separately listed.

Income from Christmas and leave bonus (EUR) up to	Marginal rate %
620	0
25 000	6
50 000	27
83 333	35.75

For bonuses exceeding EUR 2 100 (up to EUR 25 000) per year, the tax-free amount is EUR 2 000 and the tax 30% of the bonus (net of SSC) if this results in a lower tax amount compared to the formula above. This creates a break-even point at EUR 2 345 (i.e. the tax levied on the first EUR 2 345 of bonuses minus the tax-free amount will be the same under both schedules), leading to the following adjusted schedule:

Income from Christmas and leave bonus (EUR) up to	Marginal rate %
2 000	0
2 345	30
25 000	6
50 000	27
83 333	35.75

If income for Christmas and leave bonus exceeds EUR 83,333, the exceeding amount is added to current income and taxed accordingly (marginal rate of 50% or 55%, see above).

8.1.4. Tax credits

Traffic (commuting) tax credit and social security contributions refund: EUR 400. From January 2020, an additional traffic tax credit of 400 Euros applies for earnings up to EUR 15,500, tapered off to zero at EUR 21,500. If after overall tax calculation of current income the tax amount is negative, a refund of social security contributions applies. The refund amounts to the absolute value of the negative result of the tax calculation for current income, limited to 50% of overall social security contributions paid, respectively EUR 400. If the additional traffic tax credit applies, the maximum amount of negative tax is increased to 800.¹⁸ For commuters with a traffic allowance the maximum amount is EUR 500 (not assumed in TaxBEN).

Sole earner and single parent tax credit for families with children: The sole earner's credit is not given when a spouse's income exceeds EUR 6 000. This tax credit is EUR 494 for one child and increases by EUR 175 for the second and by EUR 220 for the third and every additional child. This tax credit is non-wastable and can be paid out as a negative income tax (in addition to the refund of social security contributions permitted in respect of the traffic tax credit).

Child tax credit: See Section 4.2. .

Family tax credit (*Familienbonus Plus*): As of 1st January 2019, a new family tax credit, the *Familienbonus Plus*, was introduced. The credit is non-refundable and reduces the income tax in its real extent up to EUR 1.500 per year and child below age 18 and EUR 500 per year and child up to the age of 24 if the family receives also *Familienbeihilfe* for this child (Section 4.1, the case of adult children in education is not modelled in TaxBEN). The only exception is the "*Kindermehrtrag*" which is provided

¹⁸ OECD 2020: Taxing Wages, country chapter Austria.

for low incomes when the tax is less than EUR 250 per year. In these cases, the Familienbonus reduces the imposed tax to EUR 0 and the rest is paid out as a negative tax.

Note on Negative Credits:

The formula for calculating the final “Net tax on current income” (NTCI) is: first, intermediate tax on current income (ITCI) is calculated as Gross Tax on current income minus some credits (sole earner's credit, wage earner's traffic credits, family tax credit). Then:

- If $ITCI > 0$, NTCI is equal to ITCI.
- If $ITCI < 0$, NTCI is the maximum of:
 - ITCI
 - $-0.1 * \text{Employee's SSC}$ – (Sole earner's tax credit if there are children)
 - -110 – (Sole earner's tax credit if there are children).

9. Sickness Benefit (*not modelled in TaxBEN*)

9.1. Public sickness benefit (*Krankengeld*)

9.1.1. Entitlement and eligibility conditions

Employees as well as recipients of unemployment benefits are entitled to sickness benefit if they are incapable of working because of an illness or injury. This is a health-insurance benefit.

Workers require a certificate indicating incapacity for work, provided by a physician. Depending on the employer, this certificate must be submitted between the 1st and 4th day of incapacity due to illness.

9.1.2. Benefit amounts

Recipients receive 50% of the assessment base (gross wage or salary + overtime, holiday pay, Christmas bonuses) from the 4th to the 42nd day of illness, from the 43rd day of illness onwards they receive 60% of the assessment base. The ceiling of the assessment base 2021 is EUR 5,550. As of the 43rd day of incapacity, the sickness benefit is additionally increased by 10% of the gross wage if the insured person has at least one child with no income of their own. For this to apply, the insured person must be a single parent or - if they are married or cohabiting - their partner must not have any income.

For persons with earnings below the marginal earnings threshold for compulsory insurance (2021: € 475,86) are not compulsorily insured, but may voluntarily join the scheme. In this case, the sickness benefit is EUR 170,90 per month.

For recipients of unemployment insurance, the sickness benefit is the same amount as the unemployment benefit. They can receive it from the fourth day of incapacity to work, from the 1st to the 3rd day, they receive their regular benefit. Any sickness benefit receipt from the fourth to the 56th day is paid by the health insurance to the public employment service (AMS).

9.1.3. *Benefit duration*

After a 3-day waiting period, benefits are paid for a duration of up to 26 weeks. If the recipients was insured for at least six of the preceding 12 months, the maximum duration is 52 weeks. In individual cases, the duration may be extended to 78 weeks if upon medical assessment, it seems likely that the recipient can regain his or her capacity to work within this timeframe.

9.1.4. *Means test*

None.

9.1.5. *Tax treatment*

Benefits are subject to taxation, unless they are paid to unemployment benefit recipients who are temporarily incapacitated because of illness or injury.

9.1.6. *Interactions with other components of the tax-benefit system*

For employees, the entitlement to sickness benefit rests as long as they are entitled to full mandatory sick pay by their employer, see section 9.2. It rests by 50% as long as they are entitled to half mandatory sick pay. For recipients of unemployment benefits, the entitlement to unemployment benefits rests while they receive sickness benefit.

Sickness benefits can be combined with old-age pension, widow/widower's pension, incapacity pension, the minimum income benefit and family benefits.

9.1.7. *Combining benefit receipt and employment/starting a new job*

Sickness benefit is only due if the recipient is temporarily unable to work.

9.2. *Mandatory employer sick pay (Lohn- und Gehaltsfortzahlung durch den Dienstgeber)*

9.2.1. *Entitlement and eligibility conditions*

[Not pre-filled]

9.2.2. *Benefit amounts*

Workers receive 100% of their wages for 6 to 12 weeks, and then 50% of their wages for an additional period of 4 weeks.

For quarantined workers during the Covid-19 pandemic: The Epidemic Act provides that employers must pay employees a remuneration amount which is based on the regular remuneration within the meaning of the Continued Remuneration Act (EFZG). The employer can claim against the Federal Government for full reimbursement of the costs due to continued remuneration to quarantined employees from the first day.

For sick payments made to workers ill with Covid-19, the employer can seek reimbursement of wage costs from the government from the 11th day of illness.

Care leave for childcare reasons during the Covid-19 pandemic: Employees are entitled to full wage replacement from their employer. The government will reimburse the employer for one-third of the associated wage costs.

9.2.3. *Benefit duration*

Employers continue to pay wages for workers and employees for a period of 6 to 12 weeks, depending on the length of service. After this period they are entitled to the payment of half their salaries for a period of 4 weeks. Employed persons can obtain benefits from the system for 26 weeks; 52 weeks in case insurance lasted longer than 6 months during the last 12 months; that can be expended to 78 weeks by statute (Satzung).

9.2.4. *Means test*

None.

9.2.5. *Tax treatment*

Taxable.

9.2.6. *Interactions with other components of the tax-benefit system*

None.

9.2.7. *Combining benefit receipt and employment/starting a new job*

Mandatory sick pay can only be received by employees with temporary incapacity to work.

10. *Short-time work schemes (not modelled in TaxBEN)*

10.1. *Short-time work during the COVID-19 Pandemic (Corona Kurzarbeit)*

The pre-existing short-time work scheme (*Kurzarbeit*) has been extended in scope and generosity as of 15th of March 2020, and is expected to remain in place until at least 30. June 2021. Firms who are in temporary economic difficulties related to the COVID-19 pandemic, and therefore wish to (temporarily) reduce their operations and hours worked, can benefit from this scheme..

10.1.1. *Entitlement and eligibility conditions*

Firms must suffer temporary hardship caused by the COVID-19 Pandemic. An agreement of social partners covering the duration, the reduction in working hours and any employment guarantees must be in place. Since October 2020, companies have had to prove economic necessity. The PES encouraged and subsidized qualification during downtime.

In phases 1 and 2 (01/03/2020 to 30/09/2020), employees affected by short-time work could reduce their working hours from 10% to a maximum of 90% (during the calculation period, working hours could also be temporarily reduced to zero).

In phase 3 (01/10/2020 limited until 31/03/2021) a reduction of normal working hours of at least 20% and a maximum of 70% (90% only in exceptional cases) is possible. Due to further lockdowns firms affected could again temporarily reduce to zero working hours.

In phase 4 (01/04/2021 limited until 30/06/2021) the KUA-Covid-19 will be continued under the same conditions as in phase 3, with minor changes due to the social partner agreement.

10.1.2. Benefit amounts

The benefit amounts depend on employees' previous *gross* wages:

Net replacement rates for employees, corona short-time work scheme

Previous gross wage	Net replacement rate
Up to € 1,700	90%
Up to € 2.685	85%
Up to € 5.550	80%
Portion of salary above € 5.550	0%

See also: <https://www.ams.at/unternehmen/personalsicherung-und-fruehwarnsystem/kurzarbeit#wassinddiezielederkurzarbeit> [accessed 15th June 2020]

Apprentices continue to receive their full wages according to current year of apprenticeship (as of October 1st 2020)..

10.1.3. Benefit duration

See section 10.1.1.

10.1.4. Means test

None.

10.1.5. Tax treatment

Taxable.

10.1.6. Interactions with other components of the tax-benefit system

The income from STW does not exclude the worker from claiming other benefits.

10.1.7. Combining benefit receipt and employment/starting a new job

The downtime resulting from short-time work is considered leisure time. Employees are therefore free to decide how (e.g. additional employment) and where (e.g. abroad) she / he spends this free time, unless it was agreed otherwise between the employer and the employee or Works council (e.g. participation in a Qualification measure or that the worker must be able to return to work within a certain time). That is, short-time work can be combined with other employment, and is not means-tested against income from other employment.

11. Selected output from the OECD tax-benefit model (TaxBEN)

This section shows selected output of the TaxBEN model for the Austria in 2021 (see figure below). TaxBEN by default produces the following output: 1) net household incomes (**black line**) and 2) related income components (**coloured stacked areas**) for selected family and individual circumstances (users are free to select many of these circumstances). The model and the related web calculator is accessible from the [project website](#). The figure below shows output for a two-adult family with two children (adults are both 40 years old whereas children are 4 and 6 years old respectively) and four different scenarios:

- By percentage of the average wage (**Panel A**);
- By unemployment duration (in months) for a jobseeker claiming unemployment benefits (**Panel B**);
- By previous gross earnings levels for a jobseeker claiming unemployment benefits (**Panel C**);
- By previous employment record (in months), for a jobseeker claiming unemployment benefits (**Panel D**).

The stacked areas show the following household income components: **GROSS** = gross earnings; **UB** = unemployment benefits; **SA** = social assistance / guaranteed minimum income benefits; **HB** = housing benefits; **FB** = family benefits; **IW** = in-work benefits; **SSC** = social security contributions; **IT** = income tax. Note that these components may be the result of the aggregation of more than one benefit/tax into a composite category. Please refer to the sections above for the benefits/taxes included in each category.

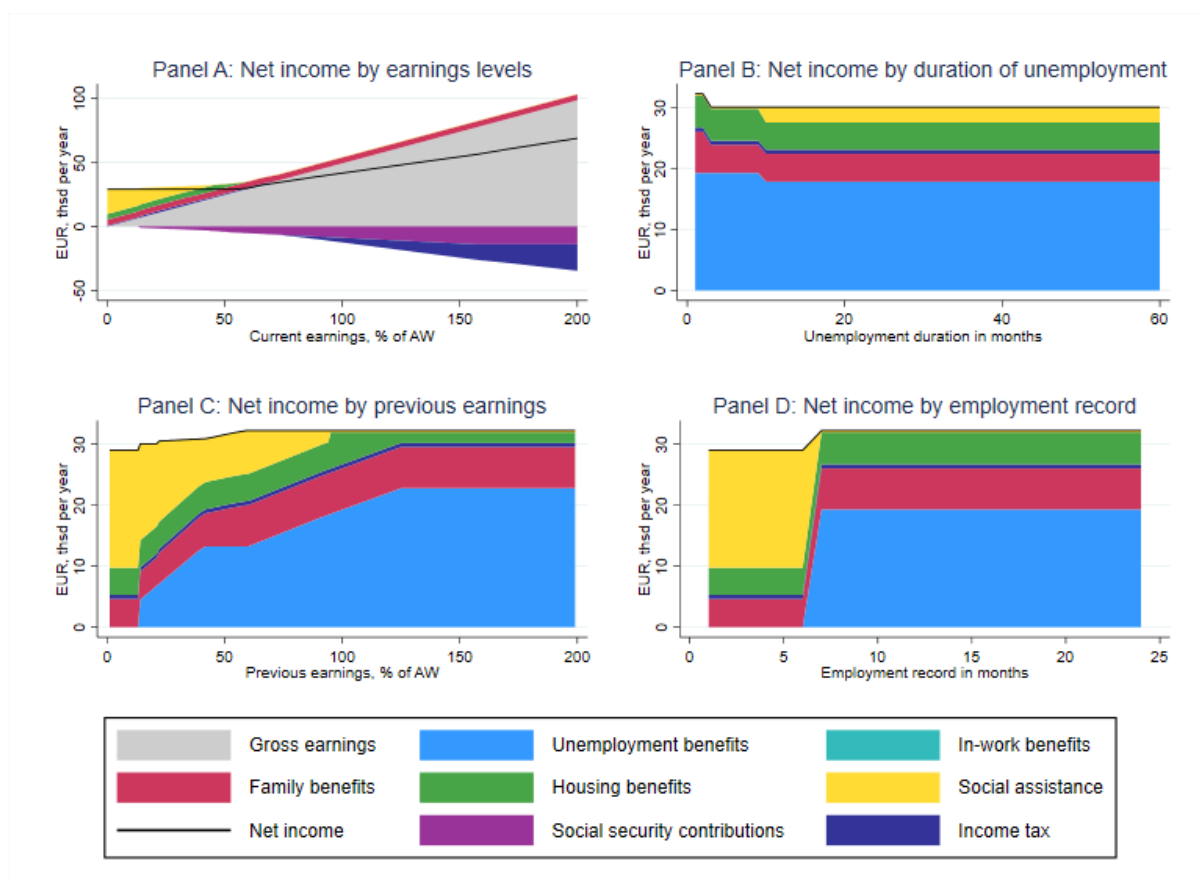
Social assistance and housing benefit supplements are assumed to be available in all the four scenarios provided that the necessary income and eligibility requirements are met. Where receipt of social assistance or other benefits is subject to activity tests (such as active job-search or being available for work), these requirements are assumed to be met.

Panel A assumes that one adult family member (the so-called ‘second adult’ using the TaxBEN terminology) is out of work and not eligible for unemployment benefits (e.g. because they have expired) whereas the other adult member (the so-called ‘first adult’) is employed full-time throughout the entire year at different earnings levels ranging between 0 and 200% of the average wage (AW). When earnings of the first adult are precisely 0% of the AW this person is assumed to be out of work without receiving unemployment benefits (again, e.g. because they have expired) but claiming social assistance or guaranteed minimum income benefits, as applicable.

Panels B to D assume that the second adult is out of work and not eligible to unemployment benefits whereas the first adult is also out of work and claiming unemployment benefits. In Panel B and C the first adult is assumed to have a ‘long’ employment record of 264 consecutive months before the job loss. The x-axis in Panel B measures the time of benefit receipt, starting from the first month. The x-axis in Panel C shows the amount of previous gross earnings (before any social contribution payments). Results in Panels C and D refer to the 2nd month of unemployment benefit receipt. In Panel B and D, previous earnings are assumed to be equal to the average wage.

Figure 9.1. Selected output from the OECD tax-benefit model, 2021

Couple with two children



Source: Calculations based on the OECD tax-benefit model.

Annex: Other benefits and direct taxes

This section provides a brief description of other cash benefits and taxes on employment incomes in Austria that are relevant for some members of the population below the statutory retirement age, but which are not included in the OECD tax-benefit model.

Income-related childcare allowance

Alongside the general eligibility criteria (see Section 4.3.1) for receiving childcare allowance, requirements for the income-related childcare allowance also include 182 days of insurable work without interruption prior to the birth of the child. If both parents take turns in claiming the income dependent childcare allowance, it is granted for a maximum of 426 days from the birth of the child. If only one parent claims it, it is granted for only 365 days from the birth of the child. 61 days are thus reserved for the second parent and non-transferrable. Income-related childcare allowance amounts to 80 percent of the income last earned, max. EUR 66 per day. Under the income-related allowance scheme, parents may only earn additionally EUR 7,300 (since 1.1.2020) per calendar year. Childcare allowance is reduced by the excess amount if earnings of the claiming parent exceed the additional earnings limit (only earnings of the claiming parent are taken into account). The partner bonus described in Section 4.3 may also be claimed when receiving income-related childcare allowance.

Social benefits for families

The Federal Chancellery – Division Family and Youth can provide monetary assistance to families in special emergency situations.

Family Hardship Fund (Familienhärteausgleich)

The Family Hardship Fund provides one-time interim assistance to families or mothers-to-be. Three conditions must be met:

- • The family allowance is being drawn for at least one child (or a pregnancy exists).
- • An unavoidable event for which the applicant is not responsible led to the financial emergency, e.g. death, illness, disability, work disability, accident or natural disaster.
- • The family or mother-to-be cannot cope with the emergency alone even after claiming the benefits or aid to which they or she is entitled under the law.

Only interim assistance can be granted. Ongoing maintenance payments to families cannot be made. No legal entitlement to benefits from the Family Hardship Fund exists.

Family Hospice Leave Hardship Fund (Familienhospizkarenz-Härteausgleich)

Employees and recipients of unemployment benefits and emergency assistance have the legal right to be released from work to accompany and care for dying relatives or severely ill children. They are covered by health and pension insurance for the duration of their family hospice leave.

Moreover, they are legally entitled to care leave benefits if they meet the corresponding requirements.

If the family fails to reach the minimum income level despite care leave benefits, a further supplement is obtainable from the Family Hospice Leave Hardship Fund.